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Fiscal Independence and Transfer Dependency Disparities among Indonesia's Archipelagic Provinces during the Early Implementation of the HKPD Framework

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Abstract

Purpose: This study analyzes fiscal autonomy and transfer dependency disparities among Indonesia's archipelagic provinces during early HKPD implementation, contributing to fiscal decentralization literature via Fiscal Federalism Theory in geographically constrained regions.

Research Methodology: This quantitative descriptive-comparative study examines eight Indonesian archipelagic provinces during 2023–2025 using secondary data from DJPK, Ministry of Finance. Fiscal autonomy and transfer dependency ratios measured fiscal capacity, while the coefficient of variation assessed inter-provincial disparities, analyzed descriptively using Microsoft Excel.

Results: Findings reveal considerable disparities in regional fiscal capacity: provinces with stronger own-source revenue show higher fiscal autonomy and lower transfer dependency. Although the coefficient of variation shows declining disparities over time, substantial autonomy gaps persist, reflecting heterogeneous fiscal dynamics during early HKPD implementation.

Conclusions: The study concludes that fiscal decentralization continues to produce unequal fiscal capacity among archipelagic provinces, supporting Fiscal Federalism Theory by showing fiscal autonomy and transfer dependency as complementary dimensions, with transfers functioning as equalization mechanisms and geographical context shaping these disparities.

Limitations: This study is limited to eight archipelagic provinces during 2023–2025, and its descriptive-comparative design does not examine causal determinants of fiscal capacity disparities, such as economic structure, geographical characteristics, or institutional capacity.

Contributions: This study extends Fiscal Federalism Theory to Indonesia's archipelagic context, introducing archipelagic fiscal constraints as a framework for interpreting fiscal disparities and informing future research and policymaking.

Keywords: *Archipelagic Provinces; Fiscal Autonomy; Fiscal Disparities; Fiscal Federalism; Transfer Dependency.*

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1. Introduction

Fiscal decentralization has become one of the most widely adopted governance reforms aimed at improving public service delivery, strengthening local accountability, and enhancing regional economic development. Under the principles of Fiscal Federalism Theory, the delegation of expenditure responsibilities and revenue authority from central governments to subnational governments is expected to improve the efficiency of public resource allocation because local governments possess better information regarding local preferences and development priorities (Musgrave, 1959; Oates, 1972). Consequently, decentralization is intended to encourage greater fiscal autonomy by enabling local governments to mobilize their own financial resources while reducing excessive dependence on central government transfers.

However, the implementation of fiscal decentralization does not automatically generate equal fiscal capacity among regions. Differences in economic structure, tax bases, demographic characteristics, institutional quality, and geographical conditions frequently produce substantial variations in local revenue-generating capacity (Bird & Smart, 2002; Shah, 2007). As a result, many decentralized countries continue to experience horizontal fiscal disparities, in which some regions possess strong fiscal autonomy while others remain highly dependent on intergovernmental transfers. Within the Fiscal Federalism framework, these transfers are designed not only to finance decentralized functions but also to serve as fiscal equalization instruments that reduce inequalities in regional fiscal capacity.

Indonesia has implemented fiscal decentralization since the enactment of regional autonomy reforms in 2001. More recently, the Government introduced Law Number 1 of 2022 concerning Financial Relations between the Central Government and Regional Governments (UU HKPD) as a comprehensive reform of intergovernmental fiscal relations. The HKPD framework seeks to strengthen regional fiscal capacity through improvements in local taxation, revenue administration, transfer mechanisms, and fiscal governance. Nevertheless, because the present study employs a descriptive-comparative approach, the HKPD framework is considered as the institutional context within which fiscal conditions are observed rather than as a causal factor explaining changes in fiscal performance.

Although fiscal decentralization has been extensively examined in previous studies, relatively limited attention has been devoted to geographically fragmented regions such as archipelagic provinces. Compared with mainland regions, archipelagic provinces face distinctive fiscal challenges arising from dispersed populations, fragmented territories, higher transportation and logistics costs, uneven economic agglomeration, and higher public service delivery costs. These structural characteristics may constrain local governments' ability to generate own-source revenues while simultaneously increasing expenditure needs. Consequently, archipelagic provinces provide an important context for understanding fiscal autonomy and transfer dependency within decentralized fiscal systems.

Previous empirical studies on regional public finance in Indonesia have predominantly examined fiscal independence, fiscal performance, financial efficiency, or transfer dependency at the provincial or district level. Most studies evaluate fiscal performance using financial ratios or investigate the determinants of local revenue without explicitly considering how geographical characteristics influence fiscal capacity. Consequently, existing evidence remains fragmented regarding the relationship between geographical constraints and disparities in fiscal autonomy among subnational governments, particularly within Indonesia's archipelagic regions.

Accordingly, the existing literature provides limited understanding of how geographical fragmentation interacts with fiscal decentralization in shaping disparities in fiscal capacity among archipelagic provinces. While fiscal autonomy and transfer dependency are widely recognized as important indicators of regional fiscal performance, previous studies have rarely examined these indicators simultaneously from the perspective of regional fiscal disparities within geographically constrained areas. Furthermore, studies conducted during the early implementation period of the HKPD framework remain scarce.

This study addresses these gaps by examining disparities in fiscal autonomy and transfer dependency among Indonesia's archipelagic provinces during the early implementation period of the HKPD framework. Rather than evaluating the policy effects of the HKPD Law, this study focuses on describing fiscal dynamics under the new institutional framework. In addition, the study introduces the

perspective of archipelagic fiscal constraints to explain how geographical characteristics may be associated with inequalities in subnational fiscal capacity. Through this perspective, the study extends the discussion of Fiscal Federalism beyond conventional fiscal performance indicators toward a broader understanding of fiscal disparities in geographically fragmented regions.

From a theoretical perspective, this study adopts Fiscal Federalism Theory as the primary analytical framework. Within this framework, fiscal autonomy, transfer dependency, and fiscal disparities are viewed as interconnected dimensions of decentralized fiscal systems. Higher fiscal autonomy reflects stronger local revenue capacity, whereas higher transfer dependency indicates greater reliance on intergovernmental fiscal support. By examining the interaction among these dimensions within archipelagic provinces, this study contributes to the fiscal decentralization literature by emphasizing the importance of geographical characteristics in understanding inequalities in regional fiscal capacity.

Therefore, this study aims to analyze disparities in fiscal autonomy and transfer dependency among Indonesia's archipelagic provinces during the early implementation period of the HKPD framework. Specifically, the study seeks to identify patterns of regional fiscal disparities and discuss their implications within the context of Fiscal Federalism Theory. The findings are expected to enrich the literature on fiscal decentralization by providing empirical evidence on fiscal dynamics in geographically constrained regions and by offering insights into regional fiscal capacity under Indonesia's decentralized governance system.

2. Literature Review

2.1 Fiscal Federalism Theory

Fiscal Federalism Theory serves as the primary theoretical foundation for explaining the financial relationship between the central government and local governments within a system of fiscal decentralization. According to Musgrave (1959), the primary functions of government include allocation, distribution, and stabilization, whereby certain public service functions can be decentralized to local governments so that service delivery better aligns with the needs of local communities. Furthermore, Oates (1972), through the Decentralization Theorem, explains that local governments possess better information regarding community preferences than the central government; thus, fiscal decentralization has the potential to enhance the efficiency of public resource allocation.

From the perspective of Fiscal Federalism, the success of fiscal decentralization is determined not only by the devolution of spending authority but also by local governments' ability to generate their own revenue (own-source revenue). Therefore, local fiscal capacity serves as a key indicator in assessing the effectiveness of decentralization implementation. Regions with strong fiscal capacity have a greater ability to finance public services independently, whereas regions with low fiscal capacity tend to be more dependent on intergovernmental transfers (Bird & Smart, 2002; Shah, 2007).

Nevertheless, the Theory of Fiscal Federalism also acknowledges that fiscal decentralization does not always result in equitable fiscal capacity across regions. Differences in economic structure, tax base, geographic conditions, and institutional capacity cause the fiscal capacity of local governments to develop unevenly. Therefore, the intergovernmental fiscal transfer system serves as a fiscal equalization instrument aimed at reducing disparities in fiscal capacity among regions without eliminating local governments' incentives to increase their own-source revenue (PAD).

2.2 Fiscal Autonomy and Transfer Dependency

Fiscal autonomy describes the ability of local governments to finance the administration of government and development through revenue sources originating from the region itself, particularly Local Original Revenue (PAD). The higher the proportion of PAD relative to other revenue sources, the higher the level of a region's fiscal autonomy (Halim, 2012). Within the framework of fiscal federalism, fiscal autonomy reflects the capacity of local governments to carry out decentralized functions without excessive dependence on the central government.

Conversely, transfer dependency indicates the extent to which local financing still relies on transfers from the central government. Intergovernmental transfers are a crucial component of the fiscal decentralization system because they serve to reduce both vertical and horizontal disparities among regions (Boadway, 2007). However, a high level of transfer dependency over the long term may indicate

limitations in a region's capacity to generate its own revenue, meaning the goal of enhancing fiscal autonomy has not yet been fully achieved.

Thus, fiscal autonomy and dependence on transfers are two interrelated indicators for evaluating the fiscal capacity of local governments. Regions with a high level of fiscal autonomy generally have lower dependence on transfers, whereas regions with limited own-source revenue (PAD) tend to be more dependent on fiscal support from the central government. Nevertheless, fiscal transfers cannot be interpreted solely as an indicator of fiscal weakness but also as a mechanism for fiscal equalization, which is an important part of implementing fiscal decentralization.

2.3 Fiscal Disparities in Archipelagic Regions

One of the main challenges in implementing fiscal decentralization is the emergence of disparities in fiscal capacity across regions. Fiscal disparities occur when local governments' ability to raise revenue and finance public services differs significantly due to variations in economic, demographic, institutional, and geographic conditions (Martinez-Vazquez & McNab, 2003). In the context of an archipelagic nation like Indonesia, geographic characteristics are one of the factors that can potentially influence the fiscal capacity of local governments.

Island provinces face different challenges compared to mainland regions. The scattered distribution of islands, limited connectivity, high transportation costs, and the need to provide public services across fragmented territories result in relatively higher administrative costs. On the other hand, limitations in economic agglomeration and the local tax base can constrain local governments' ability to increase their Local Original Revenue (PAD). These conditions have the potential to create disparities in fiscal capacity among provinces, even within the same framework of fiscal decentralization.

The literature on fiscal decentralization has thus far focused primarily on indicators of local government financial performance, such as fiscal autonomy, the effectiveness of local revenue (PAD), or spending efficiency. However, studies that specifically link the geographic characteristics of archipelagic regions to disparities in fiscal capacity remain relatively limited. Therefore, this study adopts the perspective of "archipelagic fiscal constraints"—the view that spatial fragmentation and the geographic characteristics of archipelagic regions constitute structural conditions that can affect local governments' ability to achieve fiscal autonomy.

2.4 Conceptual Framework

This study uses Fiscal Federalism Theory as the primary analytical framework to explain the relationship between fiscal autonomy, dependence on transfers, and fiscal disparities in Indonesia's island provinces. Within this framework, fiscal decentralization aims to enhance the capacity of local governments by strengthening local revenue sources, while fiscal transfers serve as a mechanism for equalizing fiscal capacity across regions.

Fiscal autonomy reflects a local government's ability to finance its fiscal needs through Local Original Revenue (PAD), whereas transfer dependency describes the extent to which a region relies on fiscal support from the central government. The interaction between these two indicators determines the level of fiscal disparity among provinces. This study argues that such disparities are not only related to regional economic capacity but are also influenced by the geographical characteristics of archipelagic regions, which face challenges such as territorial fragmentation, high public service costs, and a limited local revenue base. Thus, this study seeks to expand the analysis of fiscal federalism by positioning geographic characteristics as a crucial context for understanding the dynamics of local government fiscal capacity in island provinces during the early implementation period of the HKPD framework.

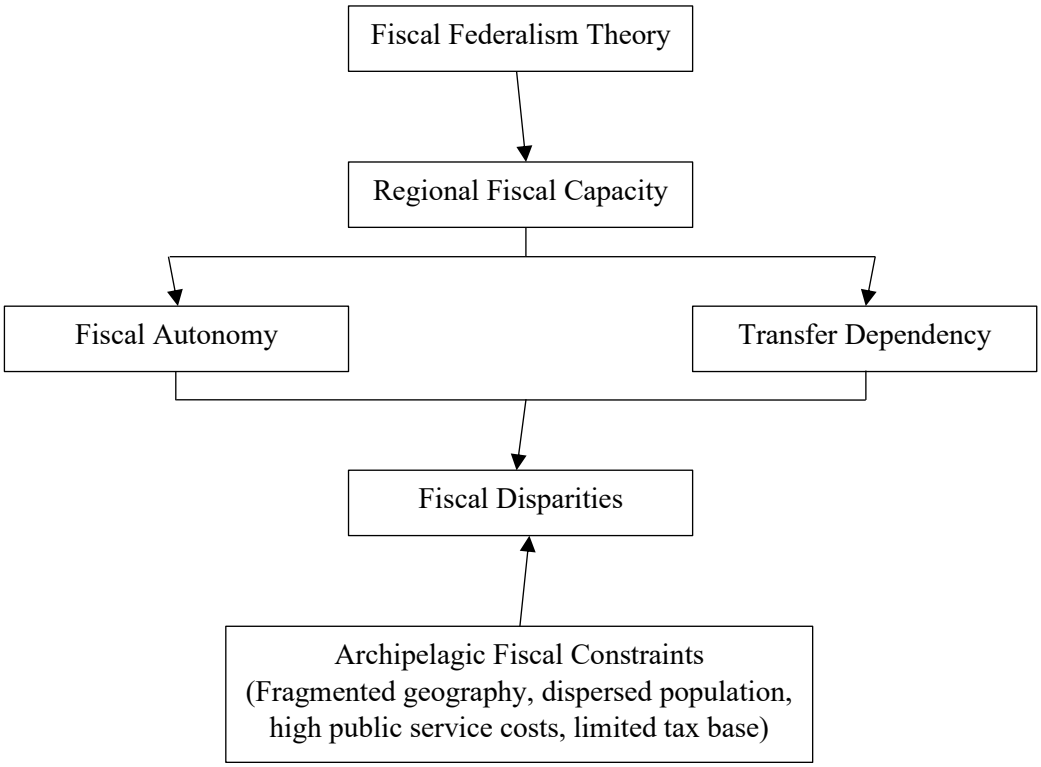


Figure 1. Conceptual Framework of the Research

3. Methodology

3.1 Research Design

This study employed a quantitative approach using a descriptive-comparative research design. The descriptive approach was applied to describe the levels of fiscal autonomy and transfer dependency among Indonesia's archipelagic provinces, while the comparative approach was used to identify disparities in fiscal capacity across provinces during the observation period. Because the study aims to examine fiscal conditions during the early implementation period of the Financial Relations between the Central Government and Regional Governments (HKPD) framework, the analysis focuses on describing fiscal dynamics rather than evaluating the causal effects of the policy.

The unit of analysis consisted of provincial governments classified as archipelagic provinces in Indonesia. The observation period covered fiscal years 2023–2025, representing the initial implementation period of the HKPD framework. Consequently, the findings should be interpreted as evidence of fiscal conditions during this period rather than as causal impacts of the HKPD Law.

3.2 Research Object and Data Sources

The study examined eight archipelagic provinces in Indonesia, namely Bangka Belitung Islands, Riau Islands, West Nusa Tenggara, East Nusa Tenggara, North Sulawesi, Southeast Sulawesi, Maluku, and North Maluku. These provinces were selected because they represent administrative regions characterized by fragmented island geography and are recognized as archipelagic provinces under Indonesia's regional governance system.

This study relied exclusively on secondary data obtained from the Directorate General of Fiscal Balance (Direktorat Jenderal Perimbangan Keuangan/DJPK), Ministry of Finance of the Republic of Indonesia. The dataset includes annual regional government financial information covering Own-Source Revenue (Pendapatan Asli Daerah/PAD), transfer revenues, and total regional revenues for fiscal years 2023–2025. Because the data originate from official government publications, they provide reliable and standardized fiscal information for comparative analysis across provinces.

3.3 Variables and Measurement

This study analyzed two principal indicators of regional fiscal capacity, namely fiscal autonomy and transfer dependency. These indicators were selected because they represent complementary dimensions within Fiscal Federalism Theory for evaluating the degree of fiscal independence and intergovernmental fiscal reliance.

Fiscal Autonomy

Fiscal autonomy reflects the ability of local governments to finance regional expenditures through locally generated revenues. Following Halim (2012), fiscal autonomy is measured by comparing Own-Source Revenue (PAD) with intergovernmental transfer revenues.

$$\text{Fiscal Autonomy Ratio} = \frac{\text{Own} - \text{Source Revenue (PAD)}}{\text{Transfer Revenue}} \times 100\%$$

A higher ratio indicates stronger fiscal capacity and greater financial independence from the central government.

Transfer Dependency

Transfer dependency measures the extent to which regional governments rely on fiscal transfers from the central government in financing regional activities.

$$\text{Transfer Dependency Ratio} = \frac{\text{Transfer Revenue}}{\text{Total Regional Revenue}} \times 100\%$$

Higher values indicate stronger dependence on central government fiscal support, whereas lower values suggest greater fiscal self-reliance.

Fiscal Disparity

To assess regional fiscal disparities, this study employed the Coefficient of Variation (CV). The coefficient of variation is calculated as:

$$\text{CV} = \frac{\sigma}{\mu} \times 100\%$$

Where

σ = standard deviation

μ = mean

The coefficient of variation was selected because it measures relative dispersion while accounting for differences in the average values of fiscal indicators. Compared with standard deviation alone, the coefficient of variation facilitates comparisons of disparities across indicators measured on the same scale. Higher coefficient values indicate greater regional fiscal disparities.

3.4 Data Analysis

The analysis was conducted in three stages: First, fiscal autonomy and transfer dependency ratios were calculated for each province during the 2023–2025 observation period using the respective measurement formulas. These ratios provide descriptive evidence of provincial fiscal capacity under the HKPD framework. Second, descriptive statistical analysis was performed to summarize the distribution of fiscal autonomy and transfer dependency across provinces, including the calculation of minimum, maximum, average, and temporal trends. Third, regional fiscal disparities were assessed using the coefficient of variation. The resulting values were interpreted to identify the degree of variation in fiscal capacity among archipelagic provinces over time. Rather than testing causal relationships, the analysis emphasizes comparative fiscal dynamics observed during the early implementation period of the HKPD framework.

3.5 Analytical Framework

This study adopted Fiscal Federalism Theory as the principal analytical framework for interpreting the empirical findings. Within this framework, fiscal autonomy, transfer dependency, and fiscal disparities are treated as interrelated dimensions of decentralized fiscal systems.

Higher fiscal autonomy reflects stronger local revenue capacity and greater fiscal independence, whereas higher transfer dependency indicates greater reliance on intergovernmental fiscal support. Consequently, variations in these two indicators represent differences in regional fiscal capacity across provinces. The findings are interpreted descriptively within this theoretical framework,

while discussions regarding economic structure, geographical characteristics, or institutional capacity are presented as possible explanations rather than empirically verified determinants because these variables are beyond the scope of the present research design.

4. Results and Discussion

4.1 Fiscal Autonomy

Table 1. Fiscal Self-Reliance Ratios for Island Provinces, 2023–2025 (%)

Province	Year		
	2023	2024	2025
Kep. Bangka Belitung	67,26	60,73	59,82
Kep. Riau	75,46	100,20	87,95
Nusa Tenggara Barat	89,11	96,11	81,66
Nusa Tenggara Timur	43,27	42,94	43,48
Sulawesi Utara	68,20	71,36	69,62
Sulawesi Tenggara	52,54	50,25	54,52
Maluku	26,42	26,85	29,91
Maluku Utara	33,87	38,22	55,31

Source : Processed Data, (2026)

The results of the study show that the level of fiscal autonomy in eight island provinces in Indonesia during the 2023–2025 period still exhibits significant disparities. Based on calculations of the fiscal autonomy ratio, West Nusa Tenggara and the Riau Islands are the provinces with the highest levels of fiscal autonomy, with averages of 89.29% and 87.87%, respectively. Conversely, Maluku Province has the lowest level of fiscal autonomy, with an average of 27.73%, followed by North Maluku at 42.46% and East Nusa Tenggara at 43.23%.

These differences indicate that the capacity of local governments to finance development needs through Local Own-Source Revenue (PAD) remains highly varied. Regions with more advanced economic structures, high levels of trade activity, and developing industrial and service sectors tend to be able to generate larger amounts of PAD, resulting in higher levels of fiscal autonomy. Conversely, regions with limited economic activity, relatively small populations, and the geographical characteristics of scattered islands still face constraints in tapping into their local revenue potential.

The findings show that the implementation of Law No. 1 of 2022 on Financial Relations between the Central Government and Local Governments (HKPD Law) has not yet been fully effective in reducing fiscal capacity disparities among island provinces. Although the UU HKPD provides local governments with greater leeway to optimize local taxes and fees, each region's ability to take advantage of this policy remains influenced by local economic conditions and the capacity of its local tax administration.

From the perspective of Fiscal Federalism Theory, fiscal decentralization will function effectively only if local governments possess sufficient revenue capacity to finance the authorities that have been decentralized. Oates (1999) explains that the primary objective of decentralization is not only to distribute authority but also to improve the efficiency of public services by enhancing the fiscal capacity of local governments. Therefore, the high levels of fiscal autonomy in West Nusa Tenggara and the Riau Islands indicate that these two regions are better able to optimize local revenue sources compared to other island provinces.

Conversely, the low level of fiscal autonomy in Maluku and North Maluku indicates that local governments still face constraints in developing their local revenue base. The geographical condition of a scattered archipelago results in higher public service costs, while economic activity is relatively concentrated in certain areas, thereby further limiting local fiscal space. Thus, the increase in fiscal authority granted through the HKPD Law has not automatically led to an increase in fiscal capacity if it is not supported by regional economic growth and the optimization of local revenue potential.

These findings align with the research by Musviyanti et al. (2022), which states that an increase in Local Original Revenue has a positive effect on the level of local governments' fiscal autonomy. These findings also support the research by Hasanah et al. (2024), which found that the majority of regions in

Indonesia remain at a moderate to low level of fiscal autonomy, particularly in regions with relatively limited economic capacity.

Overall, the research findings indicate that disparities in fiscal autonomy remain a major challenge in the implementation of fiscal decentralization in archipelagic regions. Therefore, the implementation of the HKPD Law must be accompanied by policies that promote the strengthening of regional economic capacity, the optimization of local tax revenue, the digitization of tax administration, and the development of key economic sectors capable of sustainably increasing the contribution of local revenue (PAD).

Table 2. Disparities in Fiscal Autonomy Among Island Provinces (in %)

Year	Coefficient of Variation in Fiscal Autonomy
2023	37,97
2024	43,95
2025	31,80

Source : Processed Data, (2026)

In addition to comparing fiscal autonomy ratios across provinces, this study also measured the level of disparity using the coefficient of variation. The results show that the coefficient of variation for the fiscal autonomy ratio reached 37.97% in 2023, increased to 43.95% in 2024, and then decreased to 31.80% in 2025.

The increase in the coefficient of variation in 2024 indicates that the gap in fiscal autonomy levels among the island provinces is widening compared to the previous year. This situation suggests that improvements in fiscal capacity are not occurring evenly. Some provinces, such as Riau Islands and West Nusa Tenggara, were able to increase their local revenue capacity more rapidly, while other provinces, such as Maluku and North Maluku, still face limitations in optimizing local revenue sources.

In 2025, the coefficient of variation decreased to 31.80%. This decline indicates a trend toward reduced disparities in fiscal autonomy among provinces. However, the fact that the coefficient of variation remains above 30% suggests that the gap in fiscal capacity among the island provinces is still relatively high. Thus, the implementation of the HKPD Law in its initial stages has not yet been fully successful in achieving convergence in fiscal capacity among the island provinces.

4.2 Transfer Dependency

Table 3. Transfer Dependency Ratios for the Islands Provinces, 2023–2025 (in %)

Province	Year		
	2023	2024	2025
Kep. Bangka Belitung	59,79	62,22	62,57
Kep. Riau	56,80	49,93	53,18
Nusa Tenggara Barat	52,85	50,25	53,60
Nusa Tenggara Timur	69,75	69,92	66,51
Sulawesi Utara	59,43	58,34	58,94
Sulawesi Tenggara	65,52	66,54	64,71
Maluku	79,09	78,71	76,97
Maluku Utara	74,69	72,35	63,95

Source : Processed Data, (2026)

In addition to differences in the level of fiscal autonomy, this study also found disparities in the level of dependence on central government transfer funds among Indonesia's island provinces. The highest average transfer dependency ratio was found in Maluku Province at 78.26%, followed by North Maluku at 70.33% and East Nusa Tenggara at 68.73%. Conversely, West Nusa Tenggara had the lowest level of dependence on transfers at 52.23%, followed by the Riau Islands at 53.30%.

These results indicate that most island provinces still rely on transfer funds as the primary source of financing for regional development. Although there was a general downward trend in the level of dependence on transfers during the study period, the proportion of central government transfers relative to total regional revenue remains relatively high, particularly in regions with low local revenue capacity. This phenomenon suggests that the implementation of the Regional Fiscal Autonomy Law (UU HKPD) has not yet fully succeeded in reducing local governments' fiscal dependence on the central government. This situation is understandable because enhancing local fiscal capacity is a long-term process influenced not only by regulatory changes but also dependent on the development of economic activity, investment, the productivity of key sectors, and the effectiveness of local revenue management.

From the perspective of Vertical Fiscal Imbalance, high dependence on transfers is a consequence of the imbalance between local governments' spending authority and their revenue-generating capacity. Rodden (2002) explains that in a fiscal decentralization system, the central government continues to play a crucial role in distributing financial resources to local governments through transfer mechanisms as instruments of fiscal equalization. Therefore, the high level of transfers received by provinces with low fiscal capacity does not necessarily indicate a failure of decentralization but also reflects the role of equalization transfers in maintaining equity in public services across regions.

Nevertheless, a high and persistent reliance on transfers has the potential to create fiscal dependency. Local governments become less motivated to innovate in tapping sources of local revenue (PAD) because most of their funding needs are met through central government transfer funds. In the long term, this situation can reduce local governments' incentives to improve the effectiveness of managing local taxes and local fees.

The findings of this study are consistent with the results of a study by Huda and Fitriyah (2017), which stated that high dependence on transfer funds reflects low local fiscal capacity. This study also reinforces the view of Eyraud and Lusinyan (2018), who explained that high vertical fiscal inequality means that local governments still require support from the central government to finance the provision of public services.

When compared with the results of the fiscal autonomy analysis, an inverse relationship is evident between these two indicators. Provinces with high levels of fiscal autonomy, such as West Nusa Tenggara and the Riau Islands, exhibit relatively low levels of dependence on transfer funds. Conversely, the provinces of Maluku and North Maluku demonstrate low levels of fiscal autonomy but high dependence on transfer funds. This relationship indicates that increasing local revenue capacity is a key factor in reducing regional dependence on central government transfers.

Overall, the research findings indicate that although the HKPD Law has provided a new framework for financial relations between the central government and local governments, disparities in fiscal capacity among island provinces remain quite high. Therefore, in addition to maintaining the transfer function as an instrument of fiscal equalization, the government needs to strengthen policies aimed at enhancing regional economic capacity, developing the local tax base, improving the quality of tax administration, and providing performance-based fiscal incentives so that the objectives of fiscal decentralization can be achieved more effectively.

Table 4. Disparities in Transfer Dependency Among Island Provinces (in %)

Year	Coefficient of Variation of Transfer Dependency
2023	14,16
2024	16,27
2025	12,25

Source : Processed Data, (2026)

The results of the coefficient of variation analysis for the transfer dependency ratio show a value of 14.16% in 2023, rising to 16.27% in 2024, and then declining to 12.25% in 2025. Compared to the coefficient of variation for fiscal autonomy, the coefficient of variation for transfer dependency is relatively lower. This indicates that the level of dependency on central government transfer funds tends to be more evenly distributed across provinces than the level of fiscal autonomy. In other words, although regional capacities to generate Local Original Revenue vary significantly, the central government continues to fulfill its fiscal equalization function through transfer mechanisms to all regions.

The increase in the coefficient of variation in 2024 indicates that there are growing disparities in the level of dependence on transfers among provinces. However, the decrease in the coefficient of variation in 2025 suggests a trend toward the equalization of fiscal dependence among provinces. This situation demonstrates that the central government's transfer mechanism continues to function as an instrument for reducing fiscal capacity gaps, although it has not yet been fully able to eliminate the disparities caused by differences in local governments' ability to generate Local Original Revenue.

4. 3 Discussion

4.3.1 Fiscal Autonomy and Regional Fiscal Capacity in the Perspective of Fiscal Federalism

The findings indicate substantial disparities in fiscal autonomy among Indonesia's archipelagic provinces during the 2023–2025 observation period. Some provinces consistently demonstrated relatively high fiscal autonomy, whereas others remained characterized by considerably lower levels of fiscal independence. These findings suggest that the implementation of fiscal decentralization has not produced homogeneous fiscal capacity across subnational governments. Rather than reflecting institutional failure, such disparities represent one of the inherent characteristics of decentralized fiscal systems as explained by Fiscal Federalism Theory.

According to Musgrave (1959) and Oates (1972), fiscal decentralization delegates expenditure responsibilities and revenue authority to local governments with the expectation that subnational governments will be better positioned to provide public services according to local preferences. However, the theory also recognizes that local governments possess different fiscal capacities because economic structures, tax bases, administrative capabilities, and local development conditions vary across regions. Consequently, decentralization does not necessarily result in equal fiscal autonomy among all jurisdictions.

The empirical findings of this study are consistent with this theoretical perspective. Provinces with relatively higher fiscal autonomy demonstrate stronger local revenue capacity, whereas provinces with lower fiscal autonomy continue to rely more heavily on external fiscal resources. These differences indicate heterogeneous fiscal capacities among archipelagic provinces rather than uniform fiscal outcomes during the early implementation period of the HKPD framework. Therefore, the present findings contribute to the Fiscal Federalism literature by providing empirical evidence that regional fiscal capacity remains uneven even within provinces sharing similar administrative status as archipelagic regions.

Unlike previous studies that primarily assessed regional financial performance using fiscal ratios, this study emphasizes disparities in fiscal capacity among archipelagic provinces. Consequently, the contribution of this research lies not only in measuring fiscal autonomy but also in interpreting fiscal autonomy as an indicator of regional fiscal capacity inequality within Indonesia's decentralized fiscal system.

4.3.2 Transfer Dependency as a Fiscal Equalization Mechanism

Another important finding concerns the persistence of transfer dependency among several archipelagic provinces. Although the degree of dependency varied across provinces, intergovernmental transfers remained a significant component of regional revenues throughout the observation period. This finding should not be interpreted solely as evidence of weak fiscal performance. Within Fiscal Federalism Theory, transfers constitute an essential fiscal equalization instrument designed to reduce disparities in fiscal capacity across regions while enabling local governments to fulfill decentralized expenditure responsibilities.

Bird and Smart (2002) and Shah (2007) argue that equalization transfers are intended to compensate for differences in regional fiscal capacity rather than to replace local revenue mobilization. Accordingly, higher transfer dependency may reflect structural differences in fiscal capacity instead of inefficiency in regional financial management. This interpretation is particularly relevant for geographically diverse countries where regional governments possess unequal economic potential and different capacities to generate own-source revenues.

The results of this study indicate that provinces with lower fiscal autonomy generally exhibit higher transfer dependency. Nevertheless, this relationship should be understood as descriptive rather

than causal because the present research design does not examine the determinants of fiscal capacity. Instead, the findings illustrate how fiscal autonomy and transfer dependency jointly represent complementary dimensions of regional fiscal capacity within decentralized fiscal systems.

Furthermore, the declining coefficient of variation for transfer dependency observed at the end of the study period suggests that dependence on central government transfers became relatively more homogeneous among archipelagic provinces. Although disparities remain, this pattern may indicate that intergovernmental transfers continue to function as fiscal equalization instruments aimed at reducing horizontal fiscal inequalities among regions.

4.3.3 Archipelagic Fiscal Constraints and Fiscal Capacity Disparities

One of the main theoretical contributions of this study is the introduction of the perspective of archipelagic fiscal constraints in understanding regional fiscal disparities. Existing studies on fiscal decentralization have predominantly focused on financial performance indicators without sufficiently considering how geographical characteristics shape local fiscal capacity. In contrast, this study argues that geographical fragmentation constitutes an important contextual factor for interpreting fiscal disparities among archipelagic provinces.

Archipelagic provinces are characterized by dispersed islands, fragmented administrative territories, relatively high transportation costs, and greater challenges in delivering public services. These characteristics may create structural constraints on local revenue mobilization while simultaneously increasing expenditure needs. Consequently, provinces with similar institutional arrangements under fiscal decentralization may experience different levels of fiscal autonomy and transfer dependency because they operate under different geographical conditions.

It is important to emphasize that the present study does not empirically test the influence of geographical characteristics on fiscal autonomy or transfer dependency. Therefore, geographical conditions should be interpreted as plausible contextual explanations rather than confirmed determinants of fiscal disparities. Future studies employing explanatory research designs are needed to examine the extent to which geographical fragmentation, economic structure, institutional quality, demographic characteristics, and regional development influence subnational fiscal capacity.

By positioning geographical characteristics as an important analytical context, this study extends the discussion of Fiscal Federalism beyond conventional fiscal performance measurement. The findings highlight that disparities in regional fiscal capacity cannot be fully understood solely through financial indicators but should also be interpreted within the broader context of geographical and structural differences among regions. Consequently, this study contributes to the fiscal decentralization literature by emphasizing the relevance of archipelagic fiscal constraints in understanding fiscal autonomy, transfer dependency, and regional fiscal disparities during the early implementation period of the HKPD framework.

5. Conclusions

5.1. Conclusion

This study examined disparities in fiscal autonomy and transfer dependency among Indonesia's archipelagic provinces during the early implementation period of the Financial Relations between the Central Government and Regional Governments (HKPD) framework. The findings reveal that fiscal capacity remains uneven across archipelagic provinces, as reflected in substantial differences in fiscal autonomy and transfer dependency. Provinces with relatively stronger own-source revenue capacity demonstrate higher fiscal autonomy, whereas provinces with more limited revenue-generating capacity continue to rely more heavily on intergovernmental transfers.

These findings support the central proposition of Fiscal Federalism Theory that fiscal decentralization does not necessarily produce equal fiscal capacity among subnational governments. Instead, decentralized fiscal systems inherently accommodate differences in local revenue potential, resulting in heterogeneous levels of fiscal autonomy and transfer dependency. Within this framework, intergovernmental transfers should not be interpreted solely as indicators of fiscal weakness but also as fiscal equalization instruments intended to reduce horizontal disparities in regional fiscal capacity.

This study also contributes to the fiscal decentralization literature by introducing the perspective of archipelagic fiscal constraints as an analytical context for understanding fiscal disparities.

The findings suggest that regional fiscal capacity should not be interpreted exclusively through financial indicators but should also be considered in relation to the geographical characteristics of archipelagic regions. Although this study does not empirically examine the determinants of fiscal capacity, it highlights the importance of incorporating geographical context into future discussions of fiscal autonomy and transfer dependency in decentralized fiscal systems.

Consequently, this study extends the discussion of Fiscal Federalism by demonstrating that disparities in regional fiscal capacity remain evident among Indonesia's archipelagic provinces during the early implementation period of the HKPD framework. Rather than evaluating policy impacts, the study provides empirical evidence on fiscal dynamics and contributes to a broader understanding of fiscal autonomy, transfer dependency, and regional fiscal disparities in geographically constrained regions.

5.2. Research Limitations

This study has several limitations that should be considered when interpreting the findings. First, the analysis is limited to eight archipelagic provinces and covers only the 2023–2025 period, representing the early implementation phase of the HKPD framework. Accordingly, the findings describe fiscal conditions during this period but do not provide evidence regarding long-term fiscal dynamics.

Second, this study adopts a descriptive-comparative approach using fiscal autonomy, transfer dependency, and the coefficient of variation as indicators of regional fiscal capacity. Consequently, the research does not empirically test the determinants of fiscal disparities, such as economic structure, geographical fragmentation, institutional quality, demographic characteristics, or regional development levels.

Finally, because the research design is descriptive rather than explanatory, the discussion regarding geographical characteristics and fiscal capacity should be interpreted as contextual explanations instead of empirically verified causal relationships.

5.3 Suggestions and Directions for Future Research

The findings indicate that regional fiscal capacity among Indonesia's archipelagic provinces remains heterogeneous. Future research should therefore investigate the underlying factors that contribute to these disparities. In particular, further studies may examine how economic structure, geographical fragmentation, demographic characteristics, institutional capacity, and regional development influence fiscal autonomy and transfer dependency within decentralized fiscal systems.

Future research could also explore whether archipelagic geographical characteristics systematically affect subnational fiscal capacity by employing explanatory research designs and broader datasets covering longer observation periods. Comparative studies involving both archipelagic and non-archipelagic provinces may further enhance understanding of how geographical conditions shape regional fiscal disparities.

From a theoretical perspective, subsequent studies are encouraged to further develop the concept of archipelagic fiscal constraints by integrating Fiscal Federalism Theory with spatial and regional development perspectives. Such an approach may provide a more comprehensive explanation of how geographical characteristics interact with fiscal decentralization in shaping regional fiscal capacity.

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